Amendment No. 1 to HB2375

Todd
Signature of Sponsor

AMEND Senate Bill No. 2480* House Bill No. 2375

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 9, Chapter 4, Part 2, is amended by adding the following as a new section:

9-4-217.

(a) This section is known and may be cited as the "Greenbelt Initiative Fund Transfer (GIFT) Act."

(b) There is created within the state general fund a special account to be known as the rural revenue equity fund, referred to in this section as the "fund."

(c) It is the general assembly's intent that the fund consists of an initial appropriation in fiscal year 2026-2027 of two hundred ten million dollars ($210,000,000) from the general fund.

(d) The commissioner of economic and community development shall administer the fund, and moneys deposited in the fund must be used only to administer the fund and implement the purposes set forth in this section.

(e) There must be allocated and distributed to the rural counties an amount from the fund based on the county's total weighted score determined according to the formula described in subdivision (g)(5). Subject to subdivision (g)(3)(B), the commissioner shall prioritize awarding funds to rural counties with the highest total weighted scores.

(f) Monies from the fund may be used by rural counties only for:

(1) Capital improvement projects;

(2) Infrastructure projects;

(3) Law enforcement purposes;

(4) Firefighter and emergency medical services; or

(5) Property tax stabilization.

(g)

(1) To receive an allocation and distribution of monies from the fund, a rural county must submit a completed application to the commissioner of economic and community development together with an application fee in an amount established by the department of economic and community development. The proceeds from the application fee must be retained by the department, deposited in the fund, and used for defraying the department's expenses in administering and implementing this section. The application and procedures for submitting the application must be developed by the department.

(2) The application must include, but not be limited to, information pertaining to the categories listed in subdivision (g)(3).

(3)

(A) Applications must be evaluated and scored on the basis of the following categories, and in the following order of priority:

(i) Percentage of total land in the county under a greenbelt classification;

(ii) Total acres of land in the county under a greenbelt classification;

(iii) Annual agricultural sales or taxable agricultural receipts generated in the county;

(iv) Whether the county has statutory authority to levy a development tax or impact fee;

(v) The number and economic output of licensed livestock or dairy farms in the county;

(vi) County population; and

(vii) Whether the county adopted a property tax increase during the prior five (5) fiscal years.

(B) The highest scores must be assigned to applicants that have more than seventy percent (70%) of land under a greenbelt classification. The next highest scores must be assigned, in descending order of priority, to applicants that:

(i) Have greater numbers of acres of land under a greenbelt classification;

(ii) Have higher annual agricultural sales or taxable agricultural receipts;

(iii) Lack statutory authority to levy development taxes or impact fees;

(iv) Have smaller populations; or

(v) Have adopted a property tax increase.

(4) Each category must be assigned a score ranging from zero (0) to one hundred (100) and a weighted value. The weighted value is determined by multiplying the score by a weighting factor. The weighting factors for each category are given in the following table:

Category	**Weighting Factor**
Percentage of total county land under greenbelt classification	0.25
Total acreage under greenbelt classification	0.20
Annual agricultural sales or taxable agricultural receipts	0.15
Lacks statutory authority to levy development taxes or impact fees	0.15
Number and economic output of licensed livestock or dairy farms	0.10
Total population	0.08
Adopted property tax increase	0.07

(5) A county's total weighted score equals the sum of all weighted values.

(h) In addition to appropriations made to the fund, the commissioner of economic and community development may accept other funds, public or private, by way of gift or grant to the fund. Any such gift or grant must be deposited into the fund to be expended in accordance with this section.

(i) The state treasurer shall invest moneys in the fund for the benefit of the fund in accordance with § 9-4-603. Interest accruing on investments and deposits of the fund must be credited to and remain part of the fund.

(j) Any unencumbered moneys and any unexpended balance of the fund remaining at the end of a fiscal year do not revert to the general fund, but must be carried forward until expended in accordance with this section. No part of the fund shall be diverted to the general fund or any other public fund.

(k) All expenditures from the fund are subject to review in the form of an annual report submitted by the commissioner of economic and community development to the governor; the speaker and chief clerk of the senate; the speaker and chief clerk of the house of representatives; the chair of the finance, ways and means committee of the senate; the chair of the committee of the house of representatives having jurisdiction over tax matters; and the directors of the office of legislative budget analysis.

(l) As used in this section:

(1) "Greenbelt classification" means, in regard to land, land classified by the assessor of property as agricultural, forest, or open space land under title 67, chapter 5, part 10;

(2) "Infrastructure":

(A) Means the basic network of public utilities and access facilities that support and promote land development; and

(B) Includes water and sewerage system elements, storm drainage systems, roads, bridges, streets, and highways, public transportation, pedestrian and bicycle facilities, railroads, gas and electric transmission lines, telecommunications networks, solid waste disposal sites, and similar public facilities; and

(3) "Rural county" means a county that is not included within a metropolitan statistical area, as defined by the federal office of management and budget.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.